



Invoice Capture Tool in MS D365 Finance

The Complete End-to-End Guide

From Incoming Invoice to Posted AP Transaction

Manual invoice processing is one of the most persistent inefficiencies in enterprise Finance departments. Data entry errors, missing approvals, mismatched purchase orders, and high processing costs per invoice - these are the daily realities of organizations that have not yet automated their AP intake process. The Invoice Capture Tool in Microsoft Dynamics 365 Finance changes this equation fundamentally - bringing AI-powered document intelligence directly into the AP workflow without requiring a separate third-party solution.



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What Is the Invoice Capture Tool in D365 Finance?

AI-Powered AP Automation - Native to the D365 Finance Platform

The Invoice Capture Tool is a native D365 Finance capability - introduced in Microsoft's cloud update cycle and powered by **Azure AI Document Intelligence** (formerly Azure Form Recognizer). It automates the extraction, validation, and routing of vendor invoices received in digital format - eliminating manual keying of invoice data into the Accounts Payable module.

What It Does

- Receives vendor invoices from email, SharePoint, or manual upload
- Applies AI-powered OCR and machine learning to extract all key invoice fields
- Validates extracted data against D365 Finance master data
- Presents data to a reviewer for confirmation before AP submission
- Creates the vendor invoice in D365 Finance AP - eliminating manual data entry

What It Is Not

- Not a full invoice approval workflow engine - it handles capture and extraction; approval routing is handled by the D365 Finance vendor invoice workflow
- Not a standalone e-invoicing platform - works with PDF, image, and digital documents, not structured EDI or Peppol network invoices

Licensing

Included in the **D365 Finance license** - no separate third-party OCR or document capture license required. A significant total cost advantage over Continia, Kofax, or ReadSoft.

Why Invoice Capture Matters - The Business Case

The Financial and Operational Impact of Manual Invoice Processing

\$12–30

Cost Per Invoice

Average cost to process one vendor invoice manually - including data entry, error correction, and exception handling

\$900K

Annual AP Cost

An organization processing 5,000 invoices/month at \$15 average cost - before late payment penalties

1–3%

Manual Error Rate

Fields entered incorrectly in manual data entry - each requiring investigation, correction, and potential supplier dispute

75%

Cycle Time Reduction

From 5–12 days (manual) to 1–3 days with Invoice Capture - enabling earlier payment discounts and stronger supplier relationships

Cost Per Invoice: Manual vs. Automated

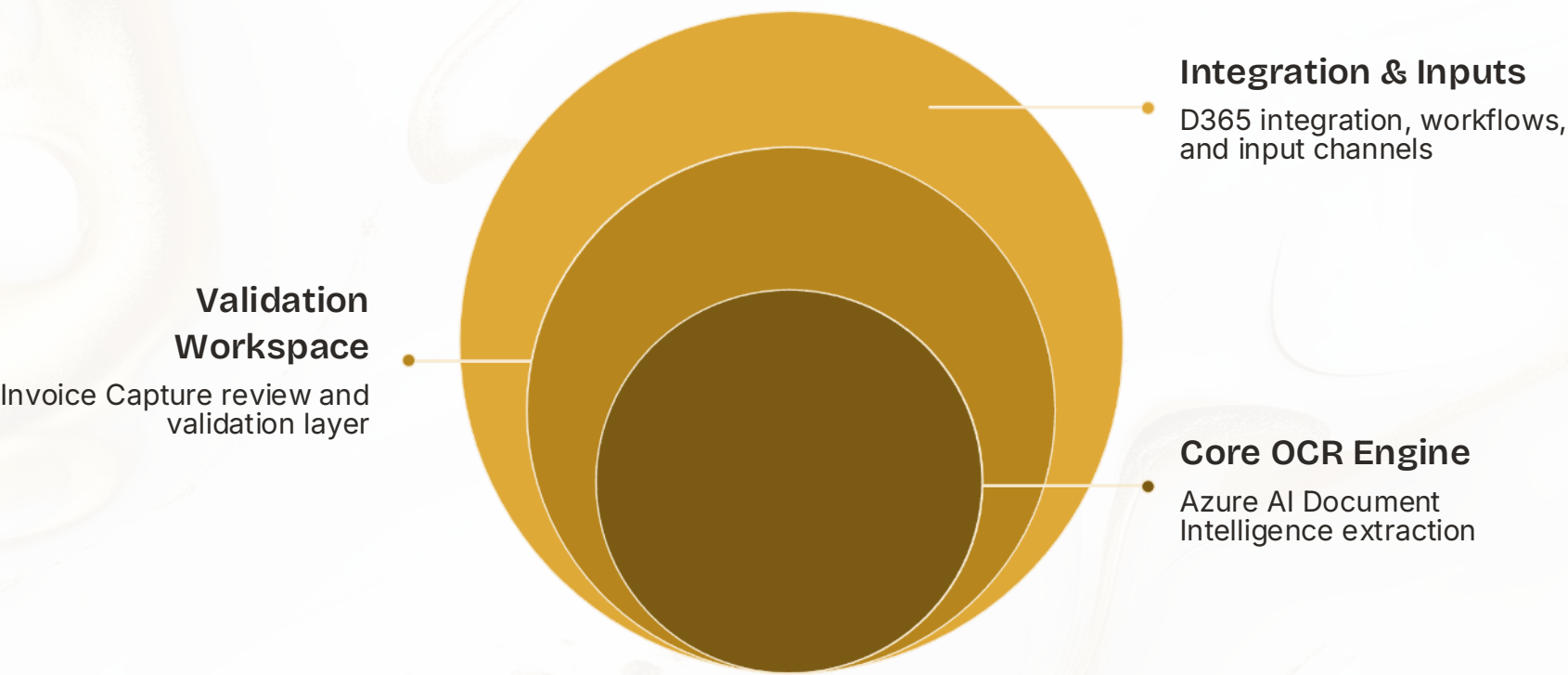
Manual processing: **\$15–30** per invoice Invoice Capture automated: **\$3–8** per invoice Error rate reduction: from **1–3%** to **<0.5%**

The Value Proposition

- **60–75%** reduction in invoice-to-approval cycle time
- AP staff redirected from data entry to vendor relationship management
- Fewer late payment penalties - faster cycle means earlier payment discounts captured
- Finance team spends time on analysis - not data entry

Invoice Capture Tool Architecture

Understanding the Technical Foundation



The Invoice Capture Tool is built on a cloud-native architecture - leveraging Microsoft Azure AI services and integrating directly with the D365 Finance data and workflow ecosystem.

Azure AI Document Intelligence

The OCR and extraction engine - pre-trained on millions of invoice documents globally. Extracts vendor name, invoice number, dates, PO reference, line items, tax amounts, and totals from any invoice format or language.

Invoice Capture Workspace

The dedicated D365 Finance interface where AP reviewers validate AI-extracted data, correct errors, and approve invoices. The human-in-the-loop component ensuring accuracy before financial posting.

D365 Finance Integration Layer

Tightly integrated with vendor master, purchase order data, item catalog, procurement categories, and legal entity and tax configuration - for correct posting entity determination.

Input Channels

Email channel (AP mailbox), SharePoint folder monitoring, manual upload in the workspace, and future Power Automate connectors for additional document sources.

Setting Up the Invoice Capture Tool

Prerequisites and Configuration - What Must Be in Place Before the First Invoice Is Processed

01

Enable Invoice Capture in Feature Management

Navigate to: **D365 Finance → System Administration → Feature Management**.
Search for "Invoice Capture" → Enable.
Available from D365 Finance cloud version **10.0.25** and later (Wave 1 2022). Note: Cloud-only - Azure AI services require cloud connectivity.

02

Configure Azure AI Document Intelligence Connection

Navigate to: **Accounts Payable → Setup → Invoice Capture → Invoice Capture Setup**.
Enter the Azure AI Document Intelligence endpoint and API key from the Azure portal.
Select the invoice model: Prebuilt Invoice model (recommended) or custom-trained model.

03

Configure Input Channels

Email channel: Connect the AP email mailbox using the Microsoft 365 connector. Define monitored folder and handling of processed emails. SharePoint channel: Define the site URL and document library folder to monitor. Configure file handling after processing.

04

Configure Legal Entity Mapping

Define rules for automatic legal entity assignment - based on email recipient address, SharePoint folder, or the vendor's assigned legal entity in the vendor master.

05

Configure Vendor Matching Rules

Define how the AI's extracted vendor name is matched to the D365 Finance vendor master: exact name match, fuzzy name match, or vendor bank account number match. Configure handling when no vendor match is found.

The Invoice Capture Workspace

The AP Reviewer's Command Center - Where AI Meets Human Judgment

Workspace Layout

Left Panel - Invoice List: All captured invoices organized by status: New, In Review, Ready to Submit, Error, and Completed. Filter by legal entity, vendor, date range, and error type.

Center Panel - Invoice Viewer: Original invoice document displayed in full - PDF rendered in-browser. AI-extracted fields highlighted on the document image. Click any field to see the extraction confidence score.

Right Panel - Extracted Data Form: All extracted header and line data in editable form fields. High-confidence fields in standard font. Low-confidence fields highlighted in amber. Missing mandatory fields shown in red.

Confidence Scoring

Each extracted field receives a **confidence score** from Azure AI Document Intelligence - a percentage indicating how certain the AI is about the extracted value.

Fields below the configured confidence threshold are automatically flagged for reviewer attention - ensuring uncertain extractions always receive human review rather than being silently incorrect.

Invoice Status Flow



New



In Review



Ready to Submit



Completed

AI Extraction - What the Invoice Capture Tool Reads

The Data Fields Captured From Every Vendor Invoice

The Invoice Capture Tool extracts structured data from unstructured invoice documents - transforming a PDF or scanned image into a validated, ready-to-post AP transaction in D365 Finance.

Header-Level Fields Extracted

→ **Vendor Name & Tax ID**

Matched against D365 Finance vendor master using name similarity algorithms. VAT number used as secondary matching key.

→ **Invoice Number & Dates**

Invoice number for duplicate detection. Invoice date, payment due date mapped to vendor payment terms if not present on document.

→ **PO Reference & Currency**

Buyer's PO reference for automatic PO matching. Currency validated against vendor master currency setting.

→ **Total Amounts**

Net, tax, and gross amounts extracted and cross-validated - total must equal sum of line amounts plus tax.

Line-Level Fields Extracted

- Line description, quantity, unit of measure
- Unit price and line amount
- GL account or procurement category (if referenced)
- Tax code (if indicated on the invoice)
- PO line matching - each invoice line automatically matched to corresponding PO line

Multi-Currency & Multi-Tax

The extraction model handles invoices in **any language and any currency**. Tax amounts extracted and mapped to D365 Finance tax codes - for VAT, GST, sales tax, and withholding tax scenarios.

Vendor Matching and Identification

Connecting the AI-Read Invoice to the D365 Finance Vendor Master

📌 Vendor identification is the most critical step in the Invoice Capture process. If an invoice is attributed to the wrong vendor - every subsequent action (PO matching, GL coding, payment) will be incorrect.

Strategy 1 - Exact Name Match

AI-extracted vendor name compared against every vendor name in the D365 Finance vendor master. Exact match → vendor assigned automatically with high confidence.

Strategy 2 - Fuzzy Name Match

Similarity scoring handles abbreviations, punctuation differences, and name variations. "International Business Machines Corp." matched to "IBM Corporation." Matches above threshold assigned automatically.

Strategy 3 - Vendor Tax ID / VAT

Extracted vendor tax identification number compared against the Tax Exempt Number field on the vendor master - a reliable identifier for vendors in VAT jurisdictions.

Strategy 4 - Bank Account

For invoices including vendor bank details, the bank account number compared against D365 Finance vendor bank accounts - useful for vendors with common names but unique banking details.

Unmatched Vendors - Reviewer Action

When no vendor match is found: Invoice enters "Unmatched Vendor" state. Reviewer presented with similarity-ranked vendor suggestions and can select the correct vendor, search manually, or flag for new vendor onboarding.

Duplicate Invoice Detection

When an invoice number matches an existing posted invoice for the same vendor and amount - the tool flags it as a potential duplicate. Reviewer confirms: discard as duplicate or proceed with caution flag as legitimate second invoice.

Purchase Order Matching in Invoice Capture

Automating Three-Way Match at the Point of Capture

PO matching is the most powerful automation capability within the Invoice Capture Tool. When a vendor invoice references a purchase order number, the tool automatically matches each invoice line against the corresponding PO line - performing two-way or three-way match validation before the invoice reaches the AP posting workflow.

Two-Way Match Invoice vs. PO Invoice line quantity and price compared against PO line. If both match within configured tolerance → line marked "Matched." Difference beyond tolerance → flagged for reviewer review.	Three-Way Match Invoice vs. PO vs. GRN When product receipts have been posted: Invoice quantity compared against PO quantity AND received quantity. All three must agree within tolerance. Invoices for undelivered quantities automatically held.	Tolerance Configuration AP Parameters Setup Price tolerance % (e.g., ±2%), Quantity tolerance (e.g., ±5%), Net amount tolerance (absolute per line). Different tolerance levels by vendor group or item group.
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PO Matching Results in the Workspace

Each line shows: PO line reference, matched quantity, matched price, variance amount, and match status (Matched / Variance / Unmatched). Lines with variances clearly highlighted - the reviewer assesses whether to accept the variance, request a corrected invoice, or create a vendor invoice journal for the difference.

GL Coding and Account Distribution

Automating the Ledger Coding of Non-PO Invoices

Not all vendor invoices reference a purchase order. Utility bills, professional fees, subscription invoices, and miscellaneous services are often received without a PO reference - requiring the AP team to manually determine the correct GL account and financial dimension coding for each line.



Vendor-Based Coding Rules

If Vendor = "Azure Cloud Services" → Suggest GL Account = "Cloud Subscription Expense" + Cost Center = "IT Department." Rules defined per vendor or per vendor group - capturing institutional knowledge of how each vendor's invoices are typically coded.



Keyword-Based Coding Rules

If invoice line description contains "Consulting" → Suggest procurement category = "Professional Services" + GL Account = "Consulting Expense." Machine learning continuously improves keyword matching as reviewers confirm or correct suggestions.



Line-Level Distribution

For invoices where a single line must be distributed across multiple GL accounts or financial dimensions - the reviewer applies the distribution split in the workspace. Split by: Fixed percentage, fixed amount, or proportional to a dimension value.



Coding Confidence Scoring

Like extracted field data, GL coding suggestions carry a confidence score - high-confidence suggestions auto-populated in the workspace; low-confidence suggestions flagged for reviewer attention.

The Review and Approval Workflow

Human-in-the-Loop Quality Control Before AP Posting

Review Queue Management

The workspace queue is organized by:

- **Status:** New, In Review, Error
- **Priority:** High-value invoices reviewed first
- **Due date:** Invoices approaching payment due date prioritized
- **Assignment:** Specific invoices assigned to specific reviewers by vendor, legal entity, or invoice type

Reviewer Actions in the Workspace

Accept All Auto-Extracted Fields

All fields validated by AI within confidence threshold - reviewer approves in one click.

Correct Individual Fields

Reviewer clicks any field and edits the value - correction feeds the machine learning model for future improvement.

Split Line Items

An invoice line representing multiple cost elements split into multiple lines with separate GL accounts.

Override Vendor Match

If the AI assigned the wrong vendor, the reviewer reassigns to the correct vendor.

Flag for Rejection

Invoice flagged as incorrect - returned to vendor with a rejection notification.

- ❏ Once all required fields are validated: "Submit" action sends the invoice to the D365 Finance vendor invoice workflow - triggering the standard AP approval process or directly posting to the pending vendor invoice register.

Exception Handling

Managing Capture Failures and Anomalies - Ensuring No Invoice Falls Through the Cracks

Exception 1 - Extraction Failure

AI cannot extract key fields - caused by poor scan quality, handwritten invoices, unusual layout, or non-invoice documents. **Action:** Invoice flagged as "Extraction Failed" - reviewer manually enters required fields. Document image remains visible alongside the data entry form.

Exception 2 - Vendor Not Found

No vendor match above confidence threshold - new vendors, name variations, or foreign language vendor names. **Action:** Reviewer presented with similarity-ranked vendor list - selects correct vendor or initiates new vendor onboarding request.

Exception 3 - Duplicate Invoice

Invoice number + vendor combination matches an existing posted or pending invoice. **Action:** Reviewer investigates - confirms duplicate (discards) or confirms legitimate second invoice (marks as non-duplicate with business justification note).

Exception 4 - PO Matching Variance

Invoice quantity or price differs from matched PO line beyond tolerance. **Action:** Reviewer assesses - accepts if within business tolerance, requests revised invoice, or raises a vendor query.

Exception 5 - Missing Required Fields

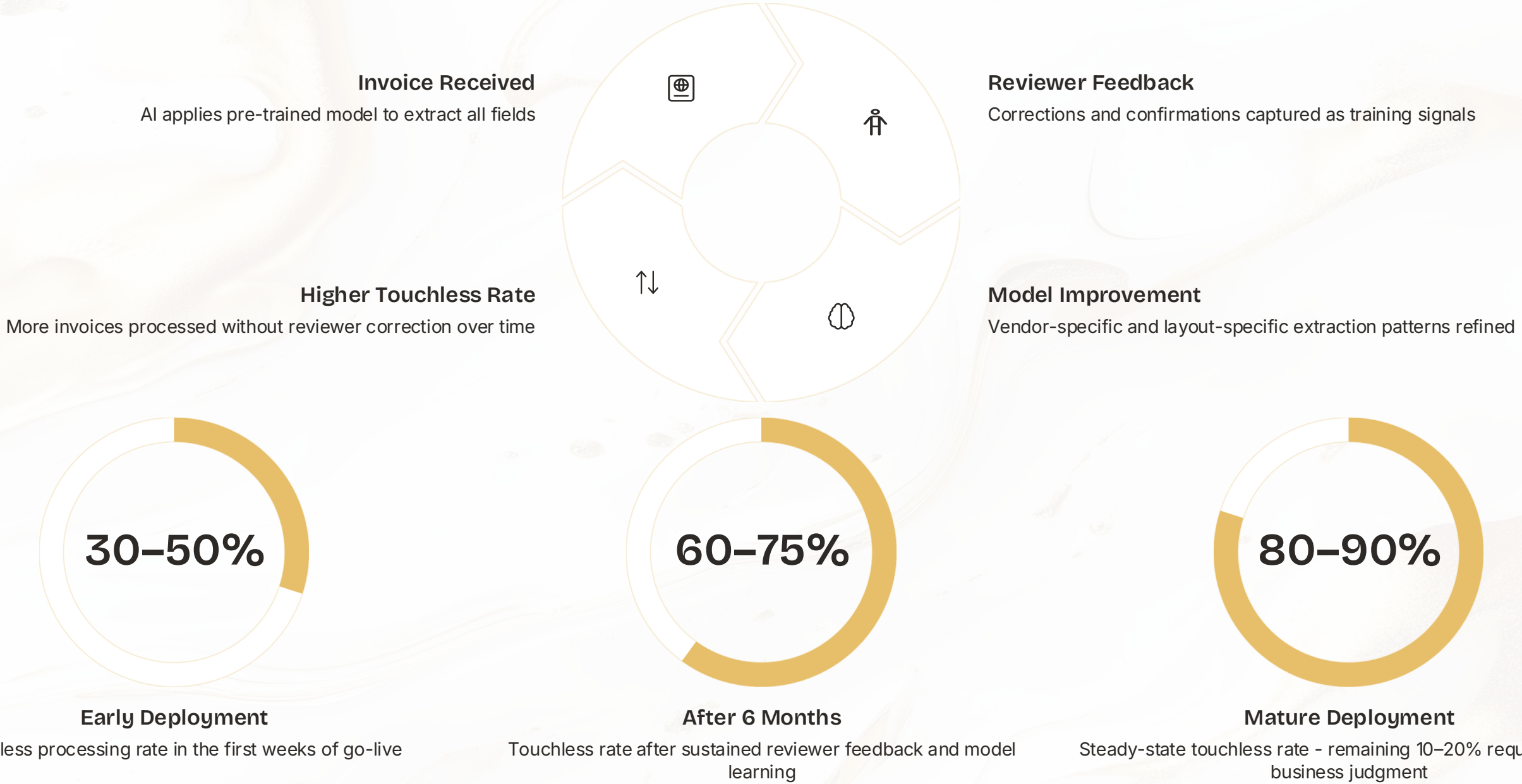
Mandatory fields (invoice date, number, vendor, total amount) not present or extractable. **Action:** Invoice held in "Incomplete" status - reviewer completes missing fields manually before submission.

❏ Invoices in exception status for more than a configured number of days trigger an **escalation alert** to the AP Manager. SLA dashboard shows the age of every exception by category - enabling proactive management of the exception backlog.

Machine Learning and Continuous Improvement

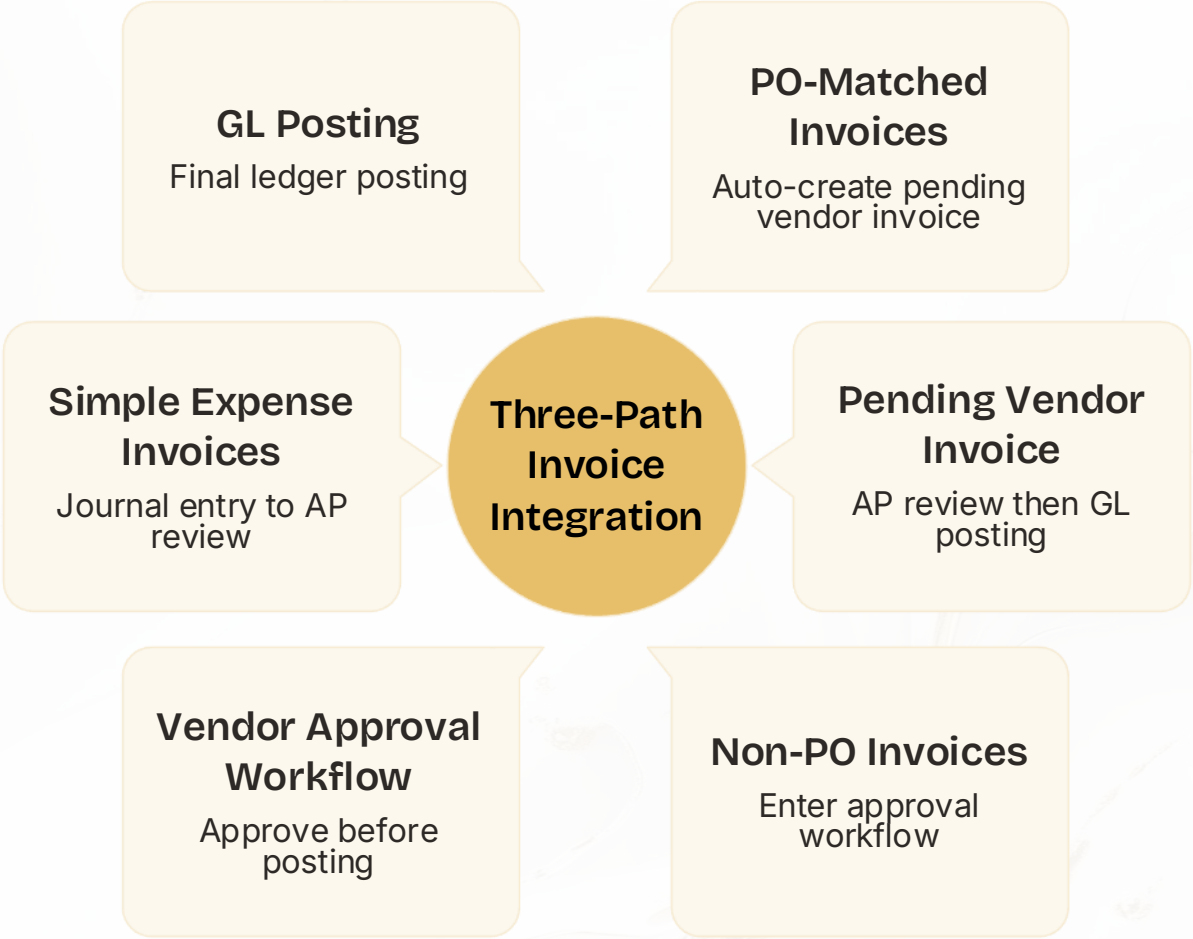
How the Invoice Capture Tool Gets Smarter Over Time

Every time a reviewer corrects an AI-extracted field or a GL coding suggestion - that correction is treated as a training signal. The machine learning model uses this feedback to improve future extractions from similar invoice formats.



Integration with D365 Finance Accounts Payable

The Handoff From Invoice Capture to the AP Workflow



PO-Matched Invoices - Automatic Posting Path

All lines matched to PO within tolerance → automatically create pending vendor invoice. AP team reviews for completeness → Post vendor invoice → GL entries created: **Dr. AP Liability / Cr. Purchased Goods / Inventory or Expense account**. Payment proposal generated on the payment run.

Non-PO Invoices - Approval Workflow Path

Proceeds through D365 Finance Vendor Invoice Approval Workflow. Routing based on: invoice amount, cost center, vendor, and GL account. Approvers receive workflow tasks in D365 Finance and Outlook. Approved invoices posted to the GL.

Real-Time AP Aging Impact

Invoices captured and submitted appear **immediately** in the D365 Finance AP aging report - enabling accurate short-term cash flow forecasting without waiting for manual data entry.

Three-Way Match and Invoice Verification

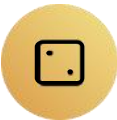
The Control Environment Around Automated AP Processing

The Invoice Capture Tool's PO matching capability executes three-way match at the point of capture - before the invoice reaches the AP posting step. This represents a significant control enhancement over manual AP processing, where match validation often occurs after data entry.



Match Confirmed

Invoice qty = PO qty = Received qty. Invoice price = PO price $\pm$ tolerance. **Outcome:** Automatically approved for posting - straight-through processing, highest touchless rate.



Two-Way Match

Applicable to service invoices, subscriptions, and categories configured for two-way match. Invoice matched to PO only - no product receipt validation required.



Price Variance Within Tolerance

Invoice price differs from PO price by less than configured tolerance %. **Outcome:** Automatically approved - variance recorded for vendor performance tracking.



Price Variance Beyond Tolerance

Invoice line flagged - reviewer confirms: accept and post with justification, hold pending corrected invoice, or create a purchase price variance posting.



Quantity Overbilling

Invoice quantity exceeds received quantity. **Outcome:** Automatic hold - payment blocked for undelivered quantities. AP team contacts vendor for credit note or corrected invoice.

Tax Handling in Invoice Capture

Ensuring Tax Accuracy in Automated AP Processing

Tax Data Extracted by Invoice Capture

→ Total Tax Amount

VAT, GST, or sales tax shown on the invoice - extracted and cross-validated against net amount × applicable rate.

→ Tax Rate & Registration Number

Percentage shown on the invoice. Vendor tax registration number required for VAT reclaim in most jurisdictions.

→ Tax Base Amount & Individual Lines

Net amount before tax. Individual tax lines where the invoice itemizes multiple tax types or rates.

Tax Code Mapping

Extracted tax rate and description mapped to D365 Finance tax codes via configurable mapping rules.

Example: Extracted "VAT 20%" → D365 Finance tax code "VAT_STD_20"

Tax Validation Flags

Invoice flagged for tax review when extracted tax amount does not reconcile to net amount × applicable rate. Particularly important for:

- Invoices with partial tax (mixed taxable and exempt lines)
- Reverse charge VAT scenarios
- Cross-border invoices with withholding tax implications

Tax Compliance Reporting

Correctly captured tax data flows directly to D365 Finance VAT returns, GST returns, and input tax recovery reports - accurate from the point of capture.

Multi-Legal Entity and Multi-Currency Handling

Enterprise-Scale Invoice Capture Across the Organization

1

Rule 1 - Email Recipient Address

Each legal entity's AP email address monitored separately. Invoices received at `uk.ap@company.com` automatically assigned to the UK legal entity in D365 Finance.

2

Rule 2 - Vendor Assignment

If the vendor is assigned to only one legal entity in the vendor master - invoices from that vendor are automatically routed to that entity.

3

Rule 3 - Invoice Content

Company name or VAT registration number on the invoice matched to the legal entity registration details in D365 Finance.

4

Rule 4 - Reviewer Manual Assignment

When automatic determination fails - the reviewer selects the correct legal entity in the workspace before submission.

Shared Services Center Model

A single Invoice Capture workspace configured to receive and process invoices across multiple legal entities. AP reviewers assigned by legal entity - each reviewer sees only their entity's invoices. Supervisors have cross-entity visibility across the entire group.

Multi-Currency Handling

Invoice currency extracted from the document and compared against the vendor master currency and the legal entity's accepted currencies. D365 Finance applies the configured exchange rate type (spot, average, or fixed) for the invoice date - converting to the accounting currency for GL posting. Currency mismatch flags alert reviewers when invoice currency differs from the vendor's expected billing currency.

Reporting and Analytics in Invoice Capture

Measuring and Optimizing AP Automation Performance

Volume Metrics

- Total invoices received per period - by legal entity, vendor, and channel
- Invoices processed automatically (touchless) vs. requiring reviewer intervention
- Invoices in exception status - by type and age

Quality Metrics

- **Touchless processing rate** - the headline automation performance indicator
- Average confidence score across all extracted fields - trend indicates model improvement
- Exception rate - percentage of invoices entering exception status by type

Efficiency Metrics

- Average time from invoice receipt to AP submission - by vendor and legal entity
- Average time in review queue - how long invoices wait before reviewer action
- Exception resolution time - how quickly exceptions are investigated and resolved

Cost Metrics

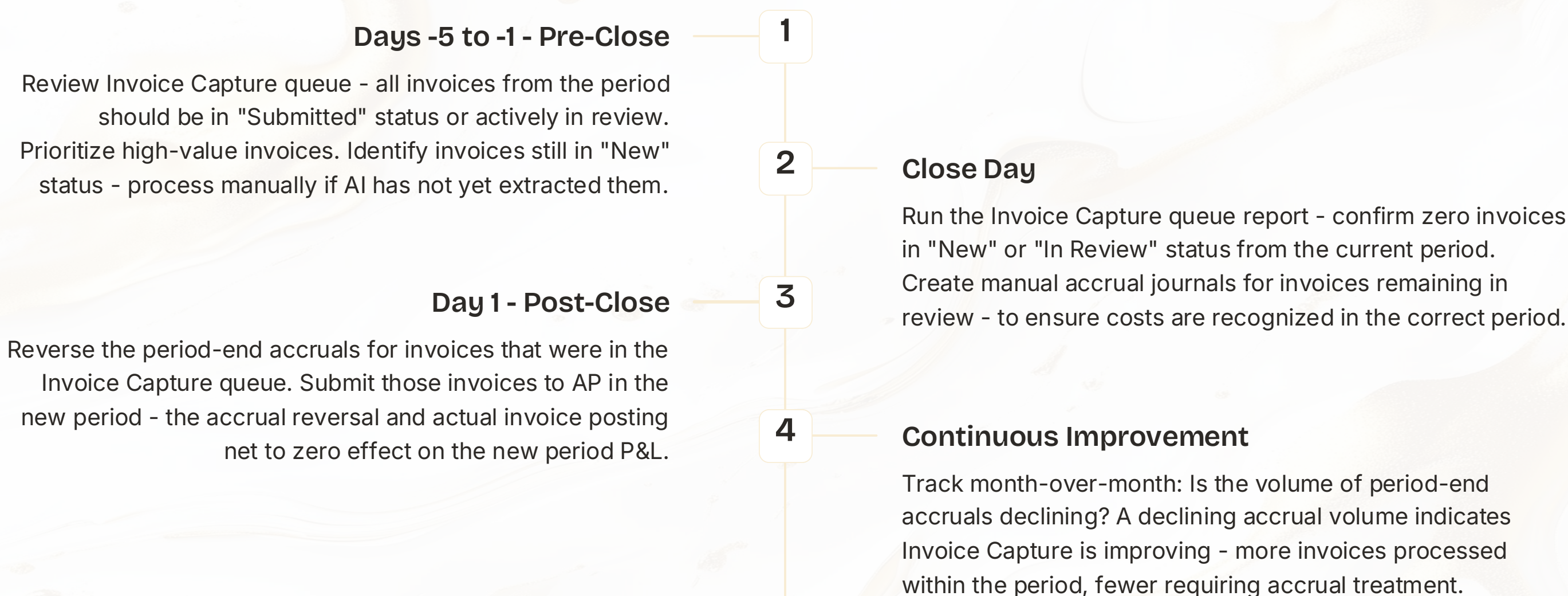
- Estimated cost per invoice processed - based on reviewer time and volume
- Cost reduction vs. manual baseline - ROI measurement for the Invoice Capture investment

📄 **Power BI Invoice Capture Dashboard:** Via D365 Finance OData or Azure Data Lake export - build a dashboard showing touchless rate trend, exception backlog by type and age, AP cycle time distribution, vendor-level automation maturity, and reviewer productivity (invoices reviewed per hour).

Invoice Capture and the Month-End Close

Integrating AP Automation Into the Financial Close Workflow

The Invoice Capture Tool significantly improves month-end close quality by ensuring that all vendor invoices received before the period close are captured, coded, and in the AP queue - reducing the volume of accruals required for invoices not yet processed.



Security and Access Control in Invoice Capture

Protecting Financial Data in the AP Automation Workflow

Standard Security Roles

Invoice Capture Administrator

Full access - configure channels, mapping rules, learning settings, and system parameters. Access to all legal entities' invoice queues.

Invoice Capture Reviewer

Access to the workspace - review, correct, and submit invoices. Access restricted to assigned legal entities and vendor groups.

Read-Only Analytics Access

AP Manager access to performance dashboards without the ability to modify or submit invoices.

Data Protection in the Capture Pipeline

In Transit

Documents transmitted from email or SharePoint encrypted via TLS 1.2+.

At Rest

Invoice files stored in Azure Blob Storage - encrypted using Microsoft-managed or customer-managed keys for high-compliance environments.

Personal Data (GDPR)

Vendor contact information handled in accordance with GDPR - stored only as part of the invoice record.

Document Retention

Captured invoice documents retained for a configurable period - typically 7 years for financial documents.

Audit Trail

Every action in the Invoice Capture workspace - field corrections, vendor assignments, submissions, and rejections - logged with: **User ID, timestamp, action type, and before/after values.** Full audit trail available for internal audit, external auditor access, and regulatory inspection.

Invoice Capture vs. Third-Party AP Automation Solutions

Understanding When Native D365 Capabilities Are Sufficient

D365 Finance Invoice Capture Tool - Strengths

- **Included in the D365 Finance license** - zero additional software cost
- Native integration - no middleware, no API management, no data synchronization overhead
- Single vendor support relationship - Microsoft
- Continuous improvement via Microsoft's release wave - feature enhancements delivered automatically
- Suitable for: Standard invoice volumes, predominantly PDF/digital invoices, English-language processing

Third-Party AP Automation - When It May Be Preferred

- **Advanced capture:** Multi-language OCR at higher accuracy for organizations processing invoices in 10+ languages
- **Complex document types:** Delivery notes, contracts, and remittance advices requiring a document classification layer
- **High-volume AP:** Processing 50,000+ invoices/month - where advanced workflow management and supplier self-service become essential
- **Advanced vendor portal:** Supplier self-service invoice submission, status tracking, and dispute resolution

Use Native Invoice Capture

<5,000 invoices/month, predominantly English-language PDFs, standard vendor mix → **D365 Finance Invoice Capture Tool is sufficient.**



Evaluate Third-Party Solutions

>5,000 invoices/month, multi-language, complex document types, supplier portal required → **Evaluate Continia, Medius, Basware, or Esker.**

Implementation Approach for Invoice Capture

A Structured Deployment Methodology



Phase 1 - Foundation and Configuration (2–3 weeks)

Feature enablement in D365 Finance Feature Management. Azure AI Document Intelligence resource provisioning and connection configuration. Input channel setup: AP email mailbox and SharePoint folder monitoring. Legal entity mapping rules and vendor matching rules configuration.



Phase 3 - Pilot Testing (2–4 weeks)

Process 200–500 representative invoices from the previous 3 months. Measure: Touchless processing rate, extraction confidence scores, exception rate by type. Identify top 5 exception causes and address through configuration improvements. Train AP reviewers on the workspace.



Phase 2 - Vendor and GL Mapping Rules (2–3 weeks)

Vendor GL coding rules for the top 50 vendors by invoice volume. Procurement category mapping for non-PO invoices. Tax code mapping rules for standard tax scenarios. PO matching tolerance configuration aligned to AP Parameters. Duplicate detection rules configuration.



Phase 4 - Go-Live and Optimization (ongoing)

All new invoices processed through Invoice Capture. Monitor: Touchless rate, exception rate, and cycle time improvement week-over-week. Monthly optimization review. Power BI dashboard deployment for AP automation KPIs.

 **Total implementation time: 6–12 weeks** - the fastest implementation timeline of any D365 Finance functional module, reflecting the simplicity of the native integration.

Common Invoice Capture Mistakes and How to Avoid Them

The Errors That Reduce Automation Rates and Create AP Risk

❌ Not Cleansing the Vendor Master Before Go-Live

Duplicate vendor records, multiple spellings, and outdated vendor names cause vendor matching failures - the most common exception type. **Fix:** Deduplicate and standardize the vendor master before enabling Invoice Capture.

❌ Setting Confidence Thresholds Too High

A 95% threshold means almost every invoice requires manual review - negating the automation benefit. **Fix:** Set thresholds at 80–85% for standard fields. Adjust based on actual performance data after the pilot.

❌ Ignoring the Learning Period

Organizations that measure touchless rates in the first 2 weeks are disappointed. **Fix:** Allow 4–8 weeks of learning before measuring steady-state automation rates.

❌ Not Configuring GL Coding Rules for Non-PO Invoices

Without coding rules, every non-PO invoice requires full manual GL coding. **Fix:** Invest time in vendor-specific and keyword-based coding rules before go-live.

❌ Not Testing Three-Way Match with Real PO Data

Tolerance settings too tight → high variance exceptions; too loose → financial control gaps. **Fix:** Test with a representative sample of real purchase orders before go-live.

❌ Treating Invoice Capture as Set-and-Forget

New vendors need mapping rules, vendor master changes need reflection in matching configurations, and monthly performance reviews are needed. **Fix:** Assign a dedicated Invoice Capture Administrator with ongoing governance responsibility.

❌ Not Building the Power BI AP Automation Dashboard

Without visible metrics, AP leadership cannot demonstrate ROI or identify which vendors need configuration attention. **Fix:** Build the dashboard before go-live - Finance leadership needs automation metrics from Day 1.

Best Practices for Invoice Capture Success

The Practitioner's Definitive Playbook

- ☐  **Deduplicate and Standardize the Vendor Master First**
Vendor matching accuracy is the single most important determinant of touchless processing rate. A clean vendor master is the foundation of AP automation success.
- ☐  **Start the Pilot on Your Top 20 Vendors by Invoice Volume**
These vendors represent the highest automation opportunity. Getting their matching rules and GL coding rules right in the pilot phase delivers immediate, visible ROI.
- ☐  **Configure GL Coding Rules for Non-PO Invoices from Day 1**
Vendor-based and keyword-based rules are the fastest path to non-PO automation - expense invoices without coding rules all require manual GL coding.
- ☐  **Set a Realistic 8-Week Learning Target**
Measure touchless rate at Week 8, not Week 1. Invoice Capture's machine learning requires reviewer feedback to build vendor-specific extraction models.
- ☐  **Assign a Dedicated Invoice Capture Administrator**
Responsible for vendor master quality, mapping rule maintenance, exception pattern analysis, and monthly performance reviews. This role can be part-time for most organizations.
- ☐  **Communicate with Suppliers About Preferred Invoice Formats**
PDF invoices with machine-readable text (not scanned images) achieve significantly higher extraction confidence. A simple supplier communication requesting digital invoice formats improves automation rates measurably.

Ten Things Every D365 Finance Consultant Must Know About Invoice Capture

The Non-Negotiable Knowledge Base

01

Included in the D365 Finance License

No additional software cost. Every D365 Finance AP implementation should evaluate its activation.

03

Vendor Master Quality Determines Touchless Rate

More than any other single factor. A clean, deduplicated, consistently named vendor master is the highest-ROI prerequisite.

05

Touchless Rate Improves Over 8–12 Weeks

Do not measure steady-state performance in the first month. Allow the learning period before drawing conclusions.

07

Handles Multi-Entity and Multi-Currency Natively

Enabling shared services center deployment across the entire legal entity structure.

09

Audit Trail Is Complete and Automatic

Every reviewer action logged with timestamp and user - meeting internal audit and regulatory requirements without additional configuration.

02

Powered by Azure AI Document Intelligence

A pre-trained, continuously improving AI model - not a rules-based template system. It genuinely learns.

04

Three-Way Match Executed at Capture - Not at Posting

A genuine control improvement over manual AP processing, where match validation often occurs late or inconsistently.

06

GL Coding Rules for Non-PO Invoices Are the Most Impactful Configuration

Vendor-based and keyword-based coding rules unlock automation of the most labor-intensive invoice category.

08

Third-Party Solutions May Still Be Required

For high-volume (>5,000/month), multi-language, or complex document type scenarios - know the boundary between native capability and third-party requirement.

10

Month-End Close Quality Improves Measurably

Organizations that integrate Invoice Capture queue management into their close checklist see a measurable reduction in period-end AP accrual volumes within 3 months.

Call to Action - Transform Your AP Operation

Implement Invoice Capture and Unlock the Value Already in Your License

Check Feature Status Today

Check whether the Invoice Capture feature is enabled in your current D365 Finance implementation. If not - enable it in Feature Management. The Azure AI Document Intelligence connection can be configured in less than a day.

Audit Your Vendor Master

Audit your vendor master for duplicates and name inconsistencies before activating Invoice Capture on live invoices. Vendor master quality is the single highest-ROI preparatory action.

Run a Pilot

Process 100–200 PDF invoices from your top vendors through the Invoice Capture workspace. Measure extraction confidence scores and exception rate - use the data to set realistic go-live expectations.

Build the Power BI Dashboard

Build the AP automation KPI dashboard before go-live - touchless rate, exception rate, and cycle time trend. Finance leadership visibility into automation performance from Day 1.

"The Invoice Capture Tool is one of the most immediately impactful, most underutilized capabilities in D365 Finance. It is already included in your license. It requires no middleware, no third-party contract, and no lengthy implementation. Every vendor invoice that arrives as a PDF and is processed manually today is a direct cost - in time, in errors, and in delayed payments - that Invoice Capture eliminates. Activate it, configure it, and let AI do what AI does best: the repetitive, data-intensive work that frees your Finance team for the decisions that actually require human judgment."

 D365 Finance Series - Coming Next



AP End-to-End Guide



Tax Configuration Guide



AR End-to-End Guide



Cash & Bank Management